Contoso Ltd. · Company policy

Purchasing and Supplier Evaluation Policy

Document no. **PUR-008** Owner **Procurement Team** Revised **2026-02-20** Classification **Internal**

1. Purchasing Methods

Purchase amount	Method
Under KRW 5 million	Single-source contract allowed
KRW 5 million or more, under KRW 50 million	Comparison of quotes from 3 vendors
KRW 50 million or more	Electronic competitive bidding

Urgent purchases may be handled as an exception; report them to the Procurement Team after the fact within 5 business days.

2. Supplier Registration

Submit a business registration certificate, your most recent financial statements, and an ESG self-assessment form, and pass the Procurement Team's review.

3. Supplier Evaluation

Criterion	Points
Quality	40 points
On-time delivery	25 points
Price	20 points
Safety & ESG	15 points

Grade	Score
S	90 points or more
A	80–89 points
B	70–79 points
C	Under 70 points

Suppliers that receive a C grade 2 times in a row are considered for suspension of business dealings.

4. Payment

Supplier payments are made within 60 days after the monthly closing, in compliance with the Subcontracting Act.